

Module 2: International Financial Reporting Standards (IFRS) and Ind AS

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Q.1 Need and Objectives of Ind AS

Concept

Ind AS (Indian Accounting Standards) are a set of accounting standards notified by the Ministry of Corporate Affairs, converged with International Financial Reporting Standards (IFRS), that specified classes of Indian companies are required to follow.

In simple words, Ind AS is India's own version of global accounting rules, closely matching IFRS, that certain Indian companies must use when preparing their financial statements.

Example: A large listed Indian company preparing its financial statements under Ind AS 115 for revenue recognition is following rules very similar to a global company following IFRS 15.

Need for Ind AS

1. Global Comparability

As Indian companies increasingly access global capital markets, converged standards allow international investors to compare Indian companies with global peers using a familiar accounting language.

2. Improving Quality of Financial Reporting

Ind AS introduces more rigorous recognition, measurement, and disclosure requirements compared to the earlier Indian GAAP, improving the overall quality and reliability of financial statements.

3. Attracting Foreign Investment

Financial statements prepared under globally recognized standards give foreign investors greater confidence, helping attract foreign direct and portfolio investment.

4. Facilitating Cross-Border Mergers and Listings

Converged standards make it easier for Indian companies to list on foreign stock exchanges or engage in cross-border mergers and acquisitions.

5. Keeping Pace with Global Accounting Developments

Ind AS ensures that Indian accounting practices evolve in line with global developments in areas such as fair value measurement and revenue recognition.

Objectives of Ind AS

1. Convergence, Not Adoption

Ind AS aims to converge Indian accounting practices with IFRS while retaining certain modifications, or "carve-outs," suited to India's legal and economic environment, rather than adopting IFRS wholesale.

2. Enhancing Transparency and Comparability

Ind AS aims to make financial statements more transparent and comparable, both across Indian companies and with global companies.

3. Improving Decision-Usefulness of Financial Statements

By moving towards fair value and substance-over-form principles, Ind AS aims to provide more decision-useful information to investors and other users.

4. Strengthening Corporate Governance

By requiring more extensive disclosures and professional judgment, Ind AS supports stronger corporate governance and accountability.

Conclusion

Thus, Ind AS was introduced to meet the growing need for globally comparable, high-quality financial reporting in India, with the broader objective of converging Indian accounting practices with IFRS while enhancing transparency and decision-usefulness for all stakeholders.

Q.2 Convergence of Ind AS with IFRS

Concept

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Concept

Convergence of Ind AS with IFRS refers to the process by which India has aligned its accounting standards closely with International Financial Reporting Standards, while retaining certain country-specific modifications known as carve-outs.

In simple words, India chose to bring its accounting rules very close to the global IFRS rules, rather than adopting IFRS exactly as it is, making some small changes to suit Indian laws and conditions.

Example: Ind AS 115 on Revenue Recognition is substantially similar to IFRS 15, but with certain India-specific clarifications and transitional provisions.

Key Aspects of Convergence

1. Convergence Rather Than Adoption

India adopted a strategy of convergence, meaning Ind AS standards are based on IFRS but are not word-for-word identical, unlike countries that have directly adopted IFRS.

2. Carve-Outs from IFRS

Certain provisions of IFRS have been modified or removed in Ind AS to suit Indian legal, regulatory, or economic conditions, such as different treatment of certain foreign currency translation differences.

3. Numbering Aligned with IFRS

Most Ind AS standards are numbered to correspond with their equivalent IFRS, for example, Ind AS 115 corresponds to IFRS 15, making cross-referencing easier for users familiar with global standards.

4. Phased Implementation

Convergence was implemented in phases based on company size (net worth) and listing status, rather than applying to all companies at once, allowing a gradual transition.

5. Role of ICAI and MCA

ICAI drafts Ind AS based on IFRS with appropriate modifications, and the MCA notifies them under the Companies Act, ensuring both technical rigor and legal enforceability.

Conclusion

Thus, India's convergence approach has brought its accounting standards substantially in line with IFRS, improving global comparability, while retaining the flexibility to accommodate India's unique legal and economic context through carve-outs.

Q.3 Generally Accepted Accounting Principles (GAAP) in India

Concept

Generally Accepted Accounting Principles (GAAP) in India

Generally Accepted Accounting Principles (GAAP) in India refer to the common set of accounting concepts, conventions, principles, and procedures that guide the preparation and presentation of financial statements in India.

In simple words, Indian GAAP is the traditional, broadly accepted set of accounting rules and conventions that Indian companies followed before, and continue to follow alongside, Ind AS.

Example: The concept of conservatism under Indian GAAP requires recognizing expected losses immediately, but only recognizing gains once they are realized.

Key Elements of GAAP in India

1. Accounting Concepts

GAAP is built on fundamental concepts such as the business entity concept, money measurement concept, going concern concept, and accrual concept.

2. Accounting Conventions

GAAP includes conventions such as consistency, conservatism, materiality, and full disclosure, which guide how transactions are recorded and reported.

3. Accounting Standards (AS)

Prior to Ind AS, the Accounting Standards (AS) issued by ICAI formed the core of Indian GAAP, and these standards continue to apply to companies not covered under Ind AS.

4. Statutory Backing

Indian GAAP derives its authority from provisions of the Companies Act, 2013, which requires companies to comply with applicable accounting standards.

5. Continued Relevance for Smaller Companies

While large companies have moved to Ind AS, many smaller companies not covered by the Ind AS roadmap continue to prepare financial statements under traditional Indian GAAP (AS).

Conclusion

Thus, Indian GAAP represents the foundational accounting concepts and conventions on which India's financial reporting system is built, continuing to apply to companies not yet covered under the more advanced, IFRS-converged Ind AS framework.

Q.4 Applicability and Scope of Accounting Standards in India

Concept

The applicability and scope of accounting standards in India determine which entities are required to comply with a particular accounting standard and the range of transactions or items that the standard covers.

In simple words, applicability tells us which companies must follow a standard, while scope tells us exactly what kinds of transactions or situations that standard is meant to cover.

Example: Ind AS 2 on Inventories applies to companies covered under the Ind AS roadmap, and its scope covers all inventories except those specifically excluded, such as financial instruments and biological assets.

Key Aspects of Applicability

1. Based on Net Worth and Listing Status

Applicability of Ind AS is primarily determined based on a company's net worth and whether its securities are listed, following the phased roadmap notified by the MCA.

2. Mandatory Once Applicable

Once Ind AS becomes applicable to a company, it must continue to apply Ind AS in all subsequent years, even if its net worth later falls below the threshold.

3. Applicability Extends to Group Companies

If Ind AS becomes applicable to a company, it automatically becomes applicable to all its holding, subsidiary, joint venture, and associate companies, regardless of their individual size.

Key Aspects of Scope

1. Defines Coverage of Transactions

The scope section of each standard specifies precisely which transactions, balances, or items the standard applies to.

2. Specific Exclusions

Most standards specifically list exclusions – situations or items that, despite appearing related, are governed by a different standard.

3. Interaction Between Standards

Understanding scope is essential to determine which specific standard governs a transaction when multiple standards could potentially apply.

Conclusion

Thus, applicability determines which companies must follow accounting standards based on objective criteria like net worth and listing status, while scope defines precisely which transactions each standard is meant to govern, together ensuring standards are applied consistently.

Q.5 Interpretation and Compliance of Accounting Standards in India

Concept

Interpretation of accounting standards refers to the process of resolving ambiguities or applying professional judgment where a standard's requirements are unclear, while compliance refers to ensuring that financial statements are actually prepared in accordance with the applicable standards.

In simple words, interpretation is about correctly understanding what a tricky accounting rule really means, while compliance is about actually following that rule properly when preparing the accounts.

Example: Where a standard does not clearly address a new type of transaction, such as a complex digital asset, companies and auditors must interpret the standard's underlying principles to determine the appropriate treatment.

Key Aspects of Interpretation

1. Role of the Conceptual Framework

Where specific guidance is lacking, the conceptual framework provides the underlying principles to guide interpretation.

2. Role of ICAI Guidance

ICAI issues clarifications, guidance notes, and educational material to help resolve interpretational issues arising from the practical application of standards.

3. Professional Judgment

Preparers and auditors must exercise professional judgment, informed by the standard's objective and underlying principles, when its literal wording does not clearly address a situation.

Key Aspects of Compliance

1. Statutory Requirement

Compliance with notified accounting standards is a statutory requirement under Section 129 of the Companies Act, 2013.

2. Auditor's Responsibility

Statutory auditors are required to verify and report on whether the financial statements comply with applicable accounting standards, under Section 143 of the Companies Act.

3. Consequences of Non-Compliance

Non-compliance can result in financial statements not presenting a true and fair view, leading to regulatory action, penalties, and loss of stakeholder confidence.

Conclusion

Thus, correct interpretation of accounting standards, supported by the conceptual framework and professional guidance, is essential to ensure genuine compliance, which is itself a statutory requirement enforced through board approval and independent audit.

Q.6 Introduction to IFRS

Concept

International Financial Reporting Standards (IFRS) are a set of global accounting standards developed by the International Accounting Standards Board (IASB), aimed at bringing consistency and comparability to financial reporting across countries.

In simple words, IFRS is the global accounting rulebook that many countries around the world use, either directly or as the basis for their own national standards.

Example: A company in Germany and a company in India, both applying standards based on IFRS, will treat a lease transaction in a broadly similar way.

Key Features of IFRS

1. Principle-Based Standards

IFRS is largely principle-based rather than rule-based, focusing on the underlying economic substance of transactions rather than rigid, detailed rules.

2. Global Acceptance

IFRS is required or permitted in more than 140 jurisdictions worldwide, making it the most widely used set of accounting standards globally.

3. Focus on Fair Value

IFRS places greater emphasis on fair value measurement for many assets and liabilities, compared to a purely historical cost approach.

4. Continuous Development

IFRS standards are continuously reviewed, updated, and supplemented by the IASB to address emerging accounting issues, such as revenue recognition and leases.

5. Basis for National Standards

Many countries, including India, have developed their own national standards, such as Ind AS, that are substantially converged with IFRS rather than adopting it directly.

Conclusion

Thus, IFRS serves as the leading global framework for financial reporting, and its principle-based, globally accepted standards have significantly shaped the development of national standards such as India's Ind AS.

Q.7 Overview of Ind AS

Concept

Ind AS refers to the complete set of Indian Accounting Standards notified by the Ministry of Corporate Affairs under the Companies (Indian Accounting Standards) Rules, 2015, which specified classes of companies must follow.

In simple words, Ind AS is the full collection of accounting rulebooks that certain Indian companies must use, covering everything from how to present financial statements to how to value inventory and recognize revenue.

Example: Ind AS 16 governs how a company accounts for property, plant, and equipment, while Ind AS 2 governs how it values inventory.

Key Features of the Overview of Ind AS

1. Large Number of Standards

As of date, the MCA has notified a large number of Ind AS, around 39 standards, covering nearly every major area of accounting, from presentation to specific transactions like leases and financial instruments.

2. Numbered to Match IFRS

Most Ind AS are numbered to correspond with their equivalent IFRS, such as Ind AS 115 corresponding to IFRS 15 on Revenue from Contracts with Customers.

3. Covers Presentation, Recognition, Measurement, and Disclosure

Ind AS standards collectively address how transactions should be presented, when they should be recognized, how they should be measured, and what must be disclosed about them.

4. Notified Under the Companies Act

Ind AS are legally notified under Section 133 of the Companies Act, 2013, giving them statutory force for companies to which they apply.

5. Mandatory Once Applicable

Once a company falls under the Ind AS roadmap, it must apply all applicable Ind AS standards consistently, rather than selectively choosing which standards to follow.

Conclusion

Thus, Ind AS represents a comprehensive, IFRS-converged framework of accounting standards notified under Indian law, providing detailed guidance on presentation, recognition, measurement, and disclosure across nearly all areas of corporate financial reporting.

Q.8 Applicability of Ind AS in India - Phased Roadmap

Concept

The applicability of Ind AS in India refers to the phased roadmap, notified by the Ministry of Corporate Affairs, that determines which classes of companies are mandatorily required to prepare their financial statements under Ind AS, based on criteria such as net worth and listing status.

In simple words, not every Indian company has to follow Ind AS immediately – the government rolled it out in phases, starting with the largest and listed companies first.

Example: A large listed company with a net worth of ₹600 crore was required to adopt Ind AS from April 1, 2016, under Phase I of the roadmap.

Phased Roadmap for Ind AS Applicability

1. Phase I (From April 1, 2016)

Applicable to listed and unlisted companies with a net worth of ₹500 crore or more, along with their holding, subsidiary, joint venture, and associate companies.

2. Phase II (From April 1, 2017)

Applicable to all remaining listed companies (regardless of net worth) and unlisted companies with a net worth between ₹250 crore and ₹500 crore, along with their group companies.

3. Phase III (From April 1, 2018)

Applicable to banks, non-banking financial companies (NBFCs), and insurance companies with a net worth of ₹500 crore or more.

4. Phase IV (From April 1, 2019)

Applicable to NBFCs with a net worth between ₹250 crore and ₹500 crore.

5. "Once Applicable, Always Applicable" Rule

Once Ind AS becomes applicable to a company, it must continue to apply Ind AS in subsequent years, even if its net worth subsequently falls below the prescribed threshold.

6. Automatic Applicability to Group Companies

If Ind AS applies to a parent company, it automatically applies to all its subsidiaries, associates, and joint ventures, regardless of their individual net worth.

Conclusion

Thus, the applicability of Ind AS in India follows a carefully phased roadmap based on net worth and listing status, ensuring an orderly transition to the new framework, while the "once applicable, always applicable" principle ensures continuity once a company adopts Ind AS.

Q.9 Components of Financial Statements under Ind AS 1

Concept

Under Ind AS 1, a complete set of financial statements comprises a specific set of statements and notes that together provide a structured representation of an entity's financial position and financial performance.

In simple words, Ind AS 1 tells a company exactly which statements it must prepare and present together to give a complete financial picture.

Example: A company preparing its annual accounts under Ind AS 1 must present its balance sheet, profit and loss statement, and cash flow statement together, not just one of them in isolation.

Components of a Complete Set of Financial Statements

1. Balance Sheet (Statement of Financial Position)

A balance sheet as at the end of the reporting period, presenting the entity's assets, liabilities, and equity, with the statement of changes in equity presented as part of it.

2. Statement of Profit and Loss (including OCI)

A statement of profit and loss for the period, which includes profit or loss as well as other comprehensive income (OCI), such as revaluation surpluses, presented as a single statement or two linked statements.

3. Statement of Changes in Equity

A statement showing the movement in each component of equity during the period, including profit or loss, OCI, and transactions with owners such as dividends.

4. Statement of Cash Flows

A statement showing the entity's cash inflows and outflows during the period, classified into operating, investing, and financing activities.

5. Notes to Accounts

Notes comprising a summary of significant accounting policies and other explanatory information necessary to understand the financial statements.

6. Comparative Information / Third Balance Sheet

Comparative information for the preceding period, and where a retrospective restatement or reclassification is made, an additional balance sheet as at the beginning of the earliest comparative period.

Conclusion

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Q.11 Underlying Assumptions under Ind AS 1 – Going Concern, Accrual Basis & Consistency

Concept

Ind AS 1 requires financial statements to be prepared based on three fundamental underlying assumptions – going concern, accrual basis of accounting, and consistency of presentation – unless specific circumstances require otherwise.

In simple words, these three basic assumptions form the foundation on which every set of financial statements is built, unless there's a strong reason not to use them.

Example: A company preparing its accounts assumes it will continue operating for the foreseeable future (going concern), records a sale when it is made rather than when cash is received (accrual), and uses the same format for its balance sheet every year (consistently).

Going Concern

1. Meaning

Financial statements are prepared on the assumption that the entity will continue its operations for the foreseeable future, with neither the intention nor the necessity to liquidate or significantly curtail operations.

2. Management's Responsibility

Management must assess the entity's ability to continue as a going concern, and if material uncertainties exist, these must be disclosed.

3. Departure from Going Concern

If financial statements are not prepared on a going concern basis, this fact must be disclosed, along with the basis on which they were prepared and the reasons why the entity is not considered a going concern.

Accrual Basis of Accounting

1. Meaning

Under the accrual basis, transactions and events are recognized when they occur, not when cash is received or paid, and are recorded in the accounting period to which they relate.

2. Exception for Cash Flow Information

The only exception to the accrual basis under Ind AS 1 is the statement of cash flows, which is prepared on a cash basis by definition.

Consistency of Presentation

1. Meaning

The presentation and classification of items in financial statements should be retained from one period to the next, unless a change is justified by a significant change in operations or a new Ind AS requires it.

2. Disclosure of Changes

Where a change in presentation or classification is made, comparative amounts must be reclassified, and the nature, amount, and reason for the reclassification must be disclosed.

Conclusion

Thus, going concern, accrual basis, and consistency together form the foundational assumptions of Ind AS 1, ensuring that financial statements are prepared on a realistic, timing-appropriate, and comparable basis unless specific circumstances justify a departure.

Q.12 Current vs Non-Current Classification under Ind AS 1.

Under Ind AS 1 – Presentation of Financial Statements, assets and liabilities are classified as current and non-current based mainly on their operating cycle, realisation or settlement period, and purpose.

Basis	Current	Non-Current
1. Meaning	Items expected to be realised, consumed or settled in the short term are classified as current.	Items expected to be realised, consumed or settled over a longer period are classified as non-current.
2. Time Period	Generally realised or settled within 12 months after the reporting period.	Generally realised or settled after 12 months.
3. Operating Cycle	Items arising in or related to the normal operating cycle are generally current.	Items not expected to be realised or settled in the normal operating cycle are generally non-current.
4. Purpose	Usually held for short-term operating or trading purposes.	Usually held for long-term use, investment or financing purposes.
5. Assets – Examples	Inventory, trade receivables, cash and cash equivalents, short-term investments.	Property, plant and equipment, intangible assets, long-term investments and long-term loans/advances.

Basis	Current	Non-Current
6. Liabilities - Examples	Trade payables, short-term borrowings, outstanding expenses and current tax liabilities.	Long-term borrowings, debentures and other long-term obligations.
7. Liquidity	Current assets are generally more liquid and can be converted into cash sooner.	Non-current assets are generally less liquid and are held for longer-term use or investment.
8. Settlement	Current liabilities are generally expected to be settled in the short term.	Non-current liabilities are generally expected to be settled over a longer period.
9. Trading Purpose	An asset or liability held primarily for trading is classified as current.	Items not held primarily for trading and not meeting current criteria are generally non-current.
10. Financial Position	Shows the company's short-term liquidity and working capital position.	Shows the company's long-term financial position and investment/financing structure.

Simple Example

Suppose a company has:

- Inventory ₹2,00,000 → Current Asset
- Trade Receivables ₹1,00,000 → Current Asset
- Machinery ₹10,00,000 → Non-Current Asset
- Trade Payables ₹80,000 → Current Liability
- 10-year Bank Loan ₹5,00,000 → Non-Current Liability

Thus, current items relate mainly to the short-term operating cycle, while non-current items relate mainly to long-term use or obligation.

Conclusion

The main distinction under Ind AS 1 is based on when an asset is expected to be realised or when a liability is expected to be settled, along with the normal operating cycle and purpose of the item. Current items are generally short-term, while non-current items are generally long-term.

Easy Way to Remember

Current = Short-term / Operating Cycle / Soon

Non-Current = Long-term / Beyond Current Period / Later

Formula:

CURRENT → "REALISE/PAY SOON"

NON-CURRENT → "REALISE/PAY LATER"